

Hazi Mohd. Yaseen v. P.V.V.N.L. & Another

Allahabad High Court · Division Bench · 20 August 2011 · Civil Misc. Writ Petition No. 27196 of 2011 · **Writ petition disposed of (final assessment quashed; remitted for fresh order after personal hearing, on a 50% deposit)**

HEADNOTE

The 'reasonable opportunity of hearing' required by Section 126(3) of the Electricity Act, 2003 (read with the U.P. Electricity Supply Code, 2005) before a final assessment of electricity theft includes a personal hearing — because an essential service has been disconnected and a theft charge carries penal consequences. An ex parte final assessment, passed without personal hearing, is quashed and remitted for a fresh reasoned order after a personal hearing, on a precondition that the consumer deposit 50% of the claim (mirroring Section 127(2)). While natural justice is not a straitjacket and personal hearing is not required in every case, where the statute contemplates a reasonable opportunity of hearing in the consumer/theft context, personal hearing is essential.

HOLDING-UNITS

INTERPLAY · EA2003::126(3)

Personal hearing is part of 'reasonable opportunity' before a final theft assessment

QUESTION

Does the 'reasonable opportunity of hearing' under Section 126(3) require a personal hearing before a final assessment of theft, or is taking note of written objections enough?

HOLDING

It requires a personal hearing. Merely taking note of written objections is not compliance; because supply (an essential service) has been disconnected and the theft charge carries penal consequences, a personal hearing is essential before a final assessment. The ex parte final assessment is quashed and remitted for a fresh reasoned order after personal hearing, conditioned on the consumer depositing 50% of the claim (25% cash + 25% security). ¶ 60-71

LIMITING FACTS

After two rounds over the provisional assessment, the Executive Engineer passed an ex parte final assessment (2.2.2011) for 407 days without a personal hearing, on an MRI report not supplied to the consumer.

INTERPLAY · EA2003::126(5)

Assessment period — entire period of unauthorised use, or 12 months if unascertainable

HOLDING

Section 126(5) has two parts: assessment for the entire period during which unauthorised use took place, or, if that period cannot be ascertained, a period limited to twelve months preceding inspection. Whether the period (here 407 days) was properly ascertained is a factual question for the assessing/appellate authority. ¶ 59

PRINCIPLE TAGS

opportunity-before-final-assessment In the consumer/electricity-theft context, the statutory 'reasonable opportunity of hearing' (s.126(3)) includes a personal hearing before a final assessment; taking note of written objections alone is insufficient. Lead authorities: *Transmission Corpn. of A.P. Ltd. v. Sri Rama Krishna Rice Mill*, *Khem Chand v. Union of India*. ¶ 60-69

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — MERITS OF THE THEFT ASSESSMENT AND THE METER-SEAL-TAMPERING INFERENCE

The Court did not decide the merits (or whether tampered cubicle seals per Clause 8.1(b)(i) ipso facto establish theft), leaving them to the fresh assessment/appeal; it declined to go into merits given the alternative remedy. ¶ 57-59

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Transmission Corpn. of A.P. Ltd. v. Sri Rama Krishna Rice Mill</i> (2006) 3 SCC 74 Supreme Court	In an electricity assessment dispute, merely taking note of the objections filed is not compliance with the relevant rules; natural justice is not a straitjacket formula and varies with the circumstances.	Relied on / discussed for the content of the opportunity of hearing in the consumer-electricity context. ¶ 61, 69	Petitioner	Relied on
<i>Khem Chand v. Union of India</i> AIR 1958 SC 300 Supreme Court	A 'reasonable opportunity' of showing cause includes an opportunity of a personal hearing (in the service-inquiry context).	Discussed and distinguished as a service matter, but its principle supported requiring a personal hearing here. ¶ 61, 69	Petitioner	Referred
<i>F.N. Roy v. Collector of Customs, Calcutta</i> AIR 1957 SC 648 Supreme Court (Constitution Bench)	There is no rule of natural justice that at every stage a person is entitled to a personal hearing.	Referred (respondent's line) but held not to displace the personal-hearing requirement here. ¶ 63	Respondent	Referred
<i>Union of India v. Jyoti Prakash Mitter</i> AIR 1971 SC 1093 Supreme Court (Constitution Bench)	Article 217(3) does not guarantee a right of personal hearing; a mere denial of an oral representation does not, without more, vitiate proceedings.	Referred (respondent's line); distinguished as not a consumer-electricity context. ¶ 63	Respondent	Referred
<i>Carborundum Universal Ltd. v. CBDT</i> 1989 Supp (2) SCC 462 Supreme Court	Where a statutory provision does not exclude natural justice, an opportunity of being heard is to be assumed, especially in quasi-judicial proceedings.	Referred in the natural-justice discussion. ¶ 63	Respondent	Referred
<i>Aligarh Muslim University v. Mansoor Ali Khan</i> AIR 2000 SC 2783 Supreme Court	Following S.L. Kapoor v. Jagmohan, where on admitted/indisputable facts only one conclusion is possible, breach of natural justice need not vitiate the order (a narrow exception).	Referred (respondent's line); the exception held inapplicable. ¶ 63	Respondent	Referred
<i>Abdus Salam @ A. Salam v. Election Commission of India</i> 2004 (55) ALR 12 Allahabad High Court (DB)	There is nothing rigid about natural justice; the duty to hear does not always mean affording a personal hearing.	Referred (respondent's line). ¶ 63	Respondent	Referred
<i>Whirlpool Corporation v. Registrar of Trade Marks, Mumbai</i> (1998) 8 SCC 1 Supreme Court	The availability of an alternative remedy is no bar to a writ petition where there is a breach of natural justice or an excess of jurisdiction.	Referred (petitioner's line on maintainability despite the s.127 appeal). ¶ 45	Petitioner	Referred
<i>Bihar State Electricity Board v. Parmeshwar Kumar Agarwala</i> (1996) 4 SCC 686 Supreme Court	The Supply Code / conditions of supply have statutory flavour and are to be strictly followed by the parties.	Referred for the statutory character of the Supply Code. ¶ 49	Petitioner	Referred
<i>Petitioner's further catena on alternative remedy & disputed facts</i> Harbanslal Sahnia (2003) 2 SCC 107; Popcorn Entertainment (2007) 9 SCC 593; ABL International (2004) 3 SCC 553; Zonal Manager, Central Bank v. Devi Ispat (2010) 11 SCC 186; Gunwant Kaur (1969) 3 SCC 769; Century Spinning (1970)	Cited by the petitioner for (a) alternative remedy being no bar and writ jurisdiction over disputed facts, and (b) a levy requiring specific statutory authority.	Listed by the petitioner; not individually engaged — the Court decided on the personal-hearing point. Recorded for the table of authorities. ¶ 45, 49	Petitioner	Referred

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
1 SCC 582; Babubhai Muljibhai Patel (1974) 2 SCC 706; Arezzo Developers 2010 (6) ADJ 315; Oriental Bank of Commerce 2008 (3) ADJ 1; Ashok Kumar 2008 (6) ADJ 660; Himmatlal Harilal Mehta AIR 1954 SC 403; and, on levy requiring statutory authority, Ahmedabad Urban Development Authority (1992) 3 SCC 285, A.P. Pollution Board v. A.P. Rayons (1989) 1 SCC 44, Sri Niwas Budhaulia 2006 (1) AWC 930 Supreme Court / Allahabad HC				

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A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.